At the personal level, there are two things to keep in mind about a story-driven world when managing your money.

1. The more you want something to be true, the more likely you are to believe a story that overestimates the odds of it being true.

What was the happiest day of your life?

The documentary *How to Live Forever* asks that innocent question to a centenarian who offered an amazing response.

“Armistice Day,” she said, referring to the 1918 agreement that ended World War I.

“Why?” the producer asks.

“Because we knew there would be no more wars ever again,” she says.

World War II began 21 years later, killing 75 million people.

There are many things in life that we think are true because we desperately want them to be true.

I call these things “appealing fictions.” They have a big impact on how we think about money—particularly investments and the economy.

An appealing fiction happens when you are smart, you want to find solutions, but face a combination of limited control and high stakes.

They are extremely powerful. They can make you believe just about anything.

Take a short example.

Ali Hajaji’s son was sick. Elders in his Yemeni village proposed a folk remedy: shove the tip of a burning stick through his son’s chest to drain the sickness from his body.

After the procedure, Hajaji told *The New York Times*: “When you have no money, and your son is sick, you’ll believe anything.”[64]

Medicine predates useful medicine by thousands of years. Before the scientific method and the discovery of germs there was blood-letting, starvation therapy, cutting holes in your body to let the evils out, and other treatments that did nothing but hasten your demise.